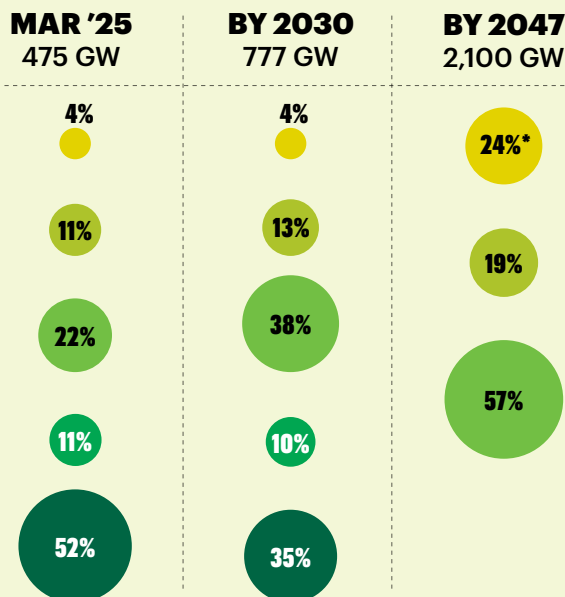


THE ENERGY TRANSITION

- Suzlon is betting on rising share of renewables
- Wind power's share expected to be 19% by 2047



● FOSSIL FUELS ● HYDRO ● SOLAR ● WIND ● OTHERS

*FOSSIL, HYDRO, AND OTHERS

SOURCE SUZLON INVESTOR PRESENTATION (Q4FY25)

It bought Hansen Transmissions, a gear-box manufacturer in Belgium, for \$565 million (₹2,500 crore at the exchange rates), followed by a €1.5 billion (₹7,300 crore) deal to acquire Germany's REPower, a wind turbine maker.

Cut to the present. The company last August bought a 76% stake in Renom Energy Services (initially 51%, followed by an additional 25% within 18 months for a total outgo of just ₹660 crore) from the Sanjay Ghodawat Group. Renom, a player in the multi-brand OMS (operations and maintenance services) business, has a diverse portfolio of 3 GW. A Motilal Oswal report says this comprises 1,905 MW of wind energy, 148 MW of solar energy and 963 MW of BoP (balance

of plant or supporting systems that are installed for efficient functioning of a plant) for several customer segments.

“Renom’s owners wanted to exit. Compared to what we have done in the past, the ticket size is much smaller,” says Girish Tanti. Still, there were some apprehensions over how the markets would react, especially with Suzlon’s M&A history. “It was important to explain the rationale for the investment to the investor community. Funding came from internal accruals, without raising fresh debt,” he says. The move was a positive, driving home the message that Suzlon will pursue relevant opportunities, he adds.

Renom brings huge strategic advantages to Suzlon. “Currently, there are 35 GW of non-Suzlon turbines in service in India. This is a clear opportunity for Renom to grow from its current 3 GW capacity,” says Chalasani. In terms of synergy, Renom’s position as a multi-brand service provider sits well with Suzlon’s understanding of the business. “We have retained the old management and want to take them along. There is no compulsion to buy the entire stake,” says Girish Tanti.

CHANGING TRACK

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A look at Suzlon’s financials makes it clear why the OMS business is critical. It brought in 20% of the total revenue in FY25 but with a 34% margin. The WTG business, in comparison, accounted for 76% revenue with a 10% margin.

According to Girish Tanti, the two businesses are inter-dependent. “In WTGs, once we break even, cash flows increase dramatically. When volumes are hit, the role of OMS is enhanced,” he says. Chalasani, who earlier worked with NTPC, Reliance Power and Punj Lloyd, says the WTG business is cyclical while the services part is like an annuity business. “The idea is to strike a balance. We can easily manage with just the services business. If the WTG business takes a hit, services can see us through.”

Divyam Mour, research analyst, Samco Securities, says the WTG business benefits from operating leverage (proportion of fixed to overall costs) in boom years, while OMS, with over ₹1,900 crore annual revenue and 40%+ Ebitda margins, ensures annuity-like cash flows. “The stable OMS segment with long-term contracts and 94 service sites across 15+ GW capacity cushions against revenue volatility and supports profitability,” he says. “When we analyse WTG supply contracts, it is mandatory for clients to get into an OMS contract with us. If there is no service require-